



Eligibility Matrix

Occupancy	Loan Amount	FICO	Purchase / Rate & Term Refi		Cash Out Refi	
			1-4 Units	Condo	1-4 Units	Condo
Primary & Second Home	\$1,500,000	700	70%	65%	65%	60%
		680	65%	60%	60%	55%
	\$2,000,000	700	65%	60%	60%	55%
		680	60%	55%	55%	50%
Investment	\$1,500,000	700	65%	60%	60%	55%
		680	60%	55%	55%	50%
	\$2,000,000	700	60%	55%	55%	50%
		680	55%	50%	50%	45%
Foreign National	\$1,500,000	N/A	60%			
	\$2,000,000	N/A	55%			

Matrix below applies to the following California Counties Only: Los Angeles County, Orange County, Santa Barbara County, Santa Clara County, San Diego County, San Francisco County, San Mateo County, and Ventura County						
Occupancy	Loan Amount	FICO	Purchase / Rate & Term Refi		Cash Out Refi	
			1-4 Units	Condo	1-4 Units	Condo
Primary & Second Home	\$2,000,000	700	75%	70%	75%	70%
		680	70%	65%	70%	65%
	\$2,500,000	700	70%	65%	70%	65%
		680	65%	60%	65%	60%
	\$3,000,000	700	70%		70%	
		680	65%		65%	
	\$4,000,000	700	65%		65%	
		680	60%		60%	
	\$5,000,000	700	60%			
		680	55%			
Investment	\$1,500,000	700	70%	65%	60%	55%
		680	65%	60%	55%	50%
	\$2,000,000	700	70%	65%	55%	50%
		680	65%	60%	50%	45%
	\$2,500,000	700	65%	60%		
		680	60%	55%		
Foreign National (2nd Home Only)	\$2,000,000	N/A	65%			
	\$2,500,000	N/A	60%			

Program Guidelines

Loan Terms	- ARM: 5/6, 7/6 (Index: 30-day SOFR, Margin 3%) - ARM: 5/6: Caps 2/1/6, 7/6: Caps 5/1/6 - ARM: Initial note rate or fully indexed interest whichever is higher
Underwriting Method	Manual underwriting only
Available States	CA, NV, TX
Minimum Loan Amount	\$200,000
Income Type	- Written VOE (for wage earner): WVOE with previous two (2) years and YTD earning - Profit & Loss Statement (for self-employed): CPA or Borrower prepared P&L
Maximum DTI	- DTI: 43% - Foreign National: 38%
Eligible Borrowers	- US Citizens - Permanent resident - Copy of unexpired Green Card (Front & Back) - Must be valid with minimum 90 days remaining until expiration at the time of Note - Non-Permanent resident - Valid Visa (H1B, E-1, E-2, G1-G5, L1) - Must be valid with minimum 90 days remaining until expiration at the time of Note - Foreign National (see Foreign National section for additional details) - Valid Visa (B-1, B2, G1 through G5, H-2A, H-2B, H3, I, J1, J2, K1) - Ineligible: F1 and F2



Eligible Borrowers (Continued)	- Must be valid with minimum 90 days remaining until expiration at the time of Note • Non-occupant co-borrower - Primary residence - Purchase and Rate/Term only (non-occupant must be on the current mortgage for a rate/term refinance) - Must be on Title of the property - Cannot be the primary wage earner and must be an immediate relative to one of the occupying borrowers
Foreign National	• Only eligible for Second Home or Investment • Max DTI 38% • Copy of passport and valid Visa • I-94 form required for all non-visa required nationals • Borrower must have U.S. address when applying for loan (must be entered as the mailing address on 1003) • All documents must be translated by a certified translator • Credit Report required to verify no negative history. FICO score is not required. • Self-employed business and CPA licenses from foreign country are to be independently verified via business search, google, government or state issued document • Asset verification (must be in U.S. banking institutions) • Reserves: 12 months PITIA by qualifying rate (1% above note rate for 5/6 ARM) • Foreign assets (downpayment, closing costs, and reserves) must be transferred to a U.S. account prior to loan application • ACH form is required. Funds must be from a U.S. Bank • Maximum number of loans allowed to one borrower is 3 for an aggregated of \$5MM • Not allowed: Borrower prepared P&L, gift funds, and Power of Attorney (POA)
First Time Home Buyer	• No additional restrictions or requirements apply
Occupancy	• Primary Residence • Second Home - 1 unit property, property is available for the borrower’s exclusive use and enjoyment - Must not be rental property or on timeshare arrangement • Investment Property
Credit Requirements	• Minimum FICO 680, FICO < 700 has price adjustment • At least 2 scores, lower of 2 or middle of 3 scores for each borrower • Tradeline requirement: At least 2 open and active individual tradelines in good standing seasoned for at least 12 months
Derogatory Credit Event	Seasoning requirement is counted from the application date to settlement/discharge/dismissal/completion date. LOE required to explain reason for derogatory credit event. • Foreclosure – 4 Years waiting period • Bankruptcy – 4 Years waiting period, (BK explanation letter required) • Deed in lieu of foreclosure – 2 Years waiting period • Charge off of a mortgage account, short sale – 2 Years waiting period • Judgment, liens, garnishment, charge offs – None but, must be paid in full prior or at closing if amount > than \$250 • Collection - Medical collections do not require to be paid - Collection account with a balance <\$500 or total collection balance <\$2,000, do not need to be paid prior to closing - Collection that have passed beyond the statute of limitations for that state do not need to be paid (supporting doc required) • Multiple bankruptcies/foreclosures/short sales/deed-in-lieu NOT allowed • Loan modification / Forbearance: - Any current forbearance is not acceptable. Loan must be reinstated and brought to current without any deferred balance/principal prior to application date. - 12-month seasoning required after exiting forbearance plan - 3-month payment history required - No missed payments since exiting plan
Properties	• Eligible: Single family, PUD, Condo, 2-4 units • Ineligible: Condotel, Non-warrantable condo, Leasehold estate, Boarding house, Manufactured/Mobile homes, Timeshare or segments ownership project, Assisted Living Facilities, Mixed Use, 2-4 Units + ADU • Acreage limit: Maximum 10 acres
Appraisal Requirements	• Age of report: 120 days from Note date. Appraisal recert is required after 120 days but less than 180 days from Note date. • Loan amount ≤ \$2MM = 1 appraisal report + AVM/CDA or desk review • Loan amount > \$2MM = 2 appraisal reports • AVM/CDA must support the value within no more than 10% below the appraised value. Desk review is required if AVM/CDA does not support the value. • Location: Rural – Has to be less than 10 acres. Rural with agricultural zoning – cannot have commercial activities such as farming or ranching. Appraisal should comment on rebuild as residential and no working farm. • Transfer appraisal is not permitted



	• Borrower’s acknowledgment is required when appraisal value is less than the purchase price															
Properties in Project (Condo and PUD)	• HOA Cert must be completed for all attached Condo and attached PUD • Require copy of Budget and Master Insurance • Ineligible Condo & PUD Projects - Projects that contain 2-4 units that represent the security for a single mortgage - Projects that contain commercial space exceeding 20% and with adverse conditions - Projects that represent a legal, but non-conforming use of the land, if zoning regulations prohibit rebuilding the improvements to current density in the event of their partial or full destruction - New or Newly converted condo projects <50% of the total units in the project or subject legal phase have been conveyed to be under contract for sale to primary or second home - For investment property transactions, <50% of the total units in the project are conveyed to primary or second home. - >15% of the total numbers of units in a project is 60+ delinquent in the payment of their HOA assessments - Projects listed on Agency CPM list - Projects involved in any litigation															
Number of Financed Properties	No limit															
AQM exposure to single borrower and/or household	All AQM aggregate shall not exceed \$5MM															
Age of Documents	• Income, Asset docs – within 60 days of the Note Date • Credit Report, Title Report – within 90 days of the Note Date • Appraisal Report – within 120 days of the Note Date															
Housing History	• Verify 12-month housing history for current home & all financed REO • VOM/VOR completed by either private party, non-institutional lender, or not on the credit report must be supported by 3 months cancelled check or bank statement • In cases current primary housing payment history is less than 12 months, additional payment history from previous mortgage/rent must be supplemented to satisfy full 12 months history • Living rent free is okay for purchase of primary only. LOE must be provided by Family/Relative confirming no obligation															
Acceptable Late Payment History	Below is the acceptable number of late payments: <table><tr><th colspan="3">Housing</th></tr><tr><th>Maximum allowed</th><th>Past 12 months</th><th>Past 24 months</th></tr><tr><td>X30</td><td>0</td><td>2</td></tr><tr><td>X60</td><td>0</td><td>1</td></tr><tr><td>X90</td><td>0</td><td>0</td></tr></table>	Housing			Maximum allowed	Past 12 months	Past 24 months	X30	0	2	X60	0	1	X90	0	0
Housing																
Maximum allowed	Past 12 months	Past 24 months														
X30	0	2														
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X90	0	0														
Employment and Income	4506-C is not required <u>Wage Earner</u> • All applicants must have 2 years of verified employment. • If the applicant has not been in their present job for 2 years, verification of previous employment must be obtained to cover two-year period. Borrower must be employed at current job for at least 6 months. If different line of work, then 12 months is required. LOE detailing for changes in profession, and WVOE for previous employment are required. Any additional income other than base cannot be used. • Business narrative from employer letterhead including details for description of business, all locations including branches, borrower’s duties, and number of employees • Employer’s information including business name, address, phone number must be listed on a public or 3rd party record (Acceptable Source: Secretary of State filings, Dun & Bradstreet, Better Business Bureau, or Google/Yelp) and must exactly match to initial 1003 • Documentation requirement - Fannie Mae 1005 or similar form to reflect base hourly/salary, overtime, bonus, commission and tip income. If borrower is receiving a bonus, details of bonus structure must be provided (e.g., performance based on duties) - Form must be prepared/signed by personnel/accounting department or any other person who has authority to verify such information - Income must be reasonable for the length of employment, business size, and position of borrower <u>*Employed by family member/relative is not eligible for this program</u> <u>Self-employed (Ownership >25%)</u> • Borrowers must be self-employed in current business for at least 2 years • Documentation requirement: - 2 years of current business license. If license expires within 30 days, renewal license is required. If the borrower cannot provide 2 years business license, proof of business registration with Secretary of State and 12 months of P&I reserves may be submitted in lieu of the licenses.															



Employment and Income (Continued)	- Verify the listing and address for the borrower’s business using the internet/directory assistance or business profile website - YTD Profit & Loss and 1 full year Profit & Loss (For application received on or before 6/30) - Current YTD Profit & Loss Statement (For application received on or after 7/1) - P&L must be prepared by either a licensed independent 3rd party (CPA/EA/CTEC) or Borrower. (Additional pricing adjustment applies for borrower prepared/signed copy) - CPA letter: *CPA/EA/CTEC letter on their business letterhead showing: Name, address, phone number, and license number for CPA/EA/CTEC (company license number only is not acceptable) – Confirming borrower has been in the same business for past 2 years & they prepared the most recent 2 years of business tax return filing; include business name, borrower’s name, and borrower’s percentage of business ownership * Independent 3rd party license must be verified *CPA letter is still required even if P&L is prepared and signed by borrower • Schedule C and 1099 – employment must be verified using third party licensing source (e.g. realtor, insurance agent, broker license) and verbal verification of employment must be completed or if the nature of business does not require a professional or occupational business license, borrower LOE explaining nature of business + CPA prepared P&L can be provided in lieu of business license • Verbal VOE: Must be completed within 10 days of Note date • Unacceptable income: Employed by family, borrower who is currently employed by seller/real estate broker/mortgage broker who represents the borrower in subject transaction unless borrower is a real estate agent/broker who represents themselves as the buyer’s agent
Rental Income	• All properties that the applicant owns must be listed on 1003 • Fully executed current lease agreement (75% of gross rent can be used), subject & REOs can use positive rental income. Lease agreement must be current or verbiage stating month to month. • Borrower owning multiple properties, the following criteria will apply: - A mortgage history will be required for all financed properties - If the property is not showing on the credit report: VOM & 3 months cancelled check
Departure Property	When borrower is applying to purchase a new primary residence and the borrower is selling or converting the current primary residence, the following conditions must be met. Pending sale of current primary residence • If the current residence is pending sale, and the sale is not completed at the time of the subject loan closed: Both the existing and proposed PITI must be used to qualify the borrower, unless an executed sale contract for the current residence without financing contingencies is documented Conversion of Primary Residence to Second Home or Investment • If rent from departing property is used to qualify within 3 months of departure, fully executed lease agreement and proof of security deposit required • If second home, both the existing and the proposed PITI must be used to qualify the borrower
Asset & Reserves	• Most recent one 1-month bank statement or VOD required. Including borrower name, account number, time period covered, all deposits and withdrawals, and account ending balance. (If using VOD, average balance must be used, not current balance.) *Account must be opened for more than 60 days • All large deposits (amount exceeds 50% of total qualifying income) must be sourced • Large deposit from business account – Uncommon or unusual compared to normal business transaction, evidenced through income, or documentation must be address and verified • Business funds may be used up to ownership %. CPA letter is required to explain the impact on borrower’s business. • Stocks/Bonds/Mutual Fund: Use 70% of value. • IRA/401k Retirement account: Use 70% (deduct 20% penalties, 10% tax) of value. Terms of withdrawal is required for retirement funds • Life insurance: Proof of liquidation and receipt of funds are required if used for closing. Net cash/surrender value can be used for reserves • Foreign asset must be transferred to US account prior to closing and all funds to be verified • Gift of equity is permitted • Gift - Not allowed for investment transactions and Foreign Nationals - Permitted for down payment, closing cost, reserves. - All gift funds deposited into borrower’s account will require donor’s ability. (Donor’s bank statement & source large deposits) - If gift donor is using business account, donor must be 100% owner of the business. - Acceptable donors: spouse, child, parent, sibling, grandparent, aunt, uncle, cousin, domestic partner, fiancée, fiancé. - If borrower receives gift funds prior to closing, proof of wire transfer (copy of check) is required - Ineligible gift funds: Gift from a trust account • Reserves - Primary: <\$2MM: 3 months PITIA, >\$2MM: 6 months PITIA by qualifying rate - Second/Investment: 6 months PITIA reserve by qualifying rate



Asset & Reserves (Continued)	- Cash out proceeds are eligible to satisfy reserve requirement - Foreign National: 12 months PITIA by qualifying rate (1% above note rate for 5/6)
Debts	• Debts paid by others: Evidence that the borrower is not making the payments for the most recent 6 months (e.g. bank statement, cancel checks) • Installment: Must be included if extends beyond 10 months. Payoff/Paydown allowed. Paydown must be done prior to Note. • Lines of credit / revolving credit: 5% of the outstanding balance or verified minimum monthly payment • Child support: Deduct from income if extends beyond 10 months. Copy of divorce decree required • Open 30 days account: Additional reserve is required to cover entire balance • Student loans: If monthly payment is not on credit report, 1% of balance is used • HELOC: Balance on credit report or if there is none, use current balance with current rate amortizing over 5 years
Interested Party Contribution (IPC)	• Can only be used for closing costs and prepaid expenses, not for down payment, reserves or repair • Maximum 6% for primary residence and second home • Maximum 3% for investment property
Purchase	• No minimum borrower contribution for down payment and closing cost required for primary/second homes, 100% gift is permitted • Non-Arm’s Length Transactions - Primary residence only - Borrowers cannot be an owner of a business entity selling the subject property - Borrowers cannot provide services on transaction (closing agent, title agent, appraiser, etc) - Foreclosure bailout is not allowed - LOE explain relationship to the seller and reason for purchase • Flip transaction - When the subject property is being resold within 90 days of its acquisition by the seller and the seller’s acquisition price has increased more than 10% - If the property is a Flip, the following requirements apply: ○ A second appraisal must be obtained ○ All transactions must be arm’s length, with no identity of interest between the borrower and the property seller or other parties participating in the sales transaction ○ Property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner ○ Increase in value should be documented with commentary on appraisal and recent comparable sales ○ Property seller on the contract must be owner of record • Copy of seller’s trust certification is required when seller is a trust
Rate/Term	• Max cash back to borrower is limited to \$2,000 or 2% of new loan amount whichever is less • Delinquent property taxes (past due by more than 60 days) cannot be paid with loan proceeds • One borrower on the new loan must be on title of the subject property at the time of the initial application • Subject property cannot be listed for sale. Listing must be withdrawn prior to application and LOE is required • A new loan proceeds may only be used for one or more of the following reasons: - Paying off the existing first lien - Paying off subordinate liens used entirely to purchase the property
Cash Out	• Max cash in hand up to \$1MM, if over \$1MM exception required • LOE for cash-out or use of loan proceeds by borrower is needed • One borrower must have been on the title for at least 6 months prior to the disbursement of the new loan • Ownership must be transferred out of the LLC and into individual prior to application. Borrower must be 100% owner of LLC. If the property was owned prior to closing by a LLC that is majority-owned or controlled by the borrower(s), the time it was held by the LLC may be counted towards borrower’s 6-month ownership requirement. • Existing First mortgage is being paid through the transaction must be at least 12-month-old • The subject property may not have been listed for sale. Listing must be withdrawn prior to the application date and LOE is required. • Texas 50(a)(6) is not eligible
Delay Financing	• Property was purchased by a borrower for cash within the past 6 months (measured from the date on which the property was purchased to the disbursement date of the new mortgage loan) • Original purchase transaction was an arm-length transaction • Final Settlement Statement confirming no mortgage financing was used to obtain the subject property • Source of funds for the purchase transaction are documented • Preliminary title report must confirm that there are no existing liens on the subject property • Max LTV/CLTV ratio is based upon the lower of the current appraised value or the property’s purchase price • The amount of cash-out cannot be greater than the borrower’s original investment to purchase the property
Insurance Coverage Amount	• 100% of the replacement cost value of the improvement or



Insurance Coverage Amount (Continued)	• The loan amount, provided it equals no less than 80% of the replacement cost value of the improvements. The verification source may be the property insurer, an independent insurance risk specialist or other professional with appropriate resource to make such a determination
Title Ownership	• Individual, Joint Tenants, Tenants in Common, Inter-vivos revocable trust • All borrowers must be on Title of the subject property
Power of Attorney	Permitted when POA is executed prior to signing loan docs • Specific POA only, and must include property address • Cannot be interested party to the transaction (e.g., real estate agent, seller, or closing agent) • LOE stating relationship between borrower and attorney-in-fact and reason for using POA is required • Not allowed on Cash Out Refinance, Foreign National borrowers
Impound	• Escrow impound is required for taxes and insurance when loan falls under HPML • Escrow impound required for flood insurance
Prepayment Penalty	No prepayment penalty
Buydown	Not permitted